

NOTE 19 – DERIVATIVE FINANCIAL INSTRUMENTS

Please refer to note 21 “Financial Instruments” for further information on fair value hierarchies.

USDm	2019	2018
Fair value of derivatives:		
Derivative financial instruments regarding freight and bunkers:		
Forward freight agreements	-0.3	0.5
Bunker swaps	-	-1.2
Derivative financial instruments regarding interest and currency exchange rate:		
Forward exchange contracts	-0.4	-1.8
Interest rate swaps	-11.1	2.8
Fair value of derivatives as of 31 December	-11.8	0.3

Derivative financial instruments are presented as below on the balance sheet:

	Financial assets	Financial liabilities
USDm		
2019		
Offsetting financial assets and financial liabilities:		
Gross amount	0.7	-12.5
Offsetting amount	-0.2	0.2
Net amount presented on the balance sheet	0.5	-12.3

	Financial assets	Financial liabilities
USDm		
2018		
Offsetting financial assets and financial liabilities:		
Gross amount	7.1	-6.8
Offsetting amount	-3.4	3.4
Net amount presented on the balance sheet	3.7	-3.4

NOTE 19 – continued

Hedging of risks with derivative financial instruments are made with a ratio of 1:1. Sources of ineffectiveness are mainly derived from differences in timing and credit risk adjustments. Any ineffective portions of the cash flow hedges are recognized in the income statement as financial items. Value adjustments of the effective part of cash flow hedges are recognized directly in comprehensive income. Gains and losses on cash flow hedges are upon realization transferred from the equity hedging reserve into the income statement.

TORM held at year end 2019 and 2018 the following derivative financial instruments designated as hedge accounting:

Hedge accounting	Notional value	Unit	Expected maturity		
			2020	2021	After 2021
2019					
Forward exchange contracts					
(USD/DKK) ¹⁾	222.5	DKKm	222.5	-	-
Interest rate swaps ²⁾	597.8	USDm	120.5	239.5	237.8
Bunker swaps ³⁾	4,725	MT	4,725	-	-

¹⁾ The average hedge of USD/DKK currency was 6.5.

²⁾ The average interest rate was 2.33% plus margin.

³⁾ The average price of the hedging instruments was USD 652.0.

Hedge accounting	Notional value	Unit	Expected maturity		
			2019	2020	After 2020
2018					
Forward exchange contracts					
(USD/DKK) ¹⁾	250.0	DKKm	250.0	-	-
Interest rate swaps ²⁾	512.8	USDm	46.6	160.9	305.3
Bunker swaps ³⁾	10,400	MT	10,400	-	-

¹⁾ The average hedge of USD/DKK currency was 6.5.

²⁾ The average interest rate was 2.04% plus margin.

³⁾ The average price of the hedging instruments was USD 413.7.